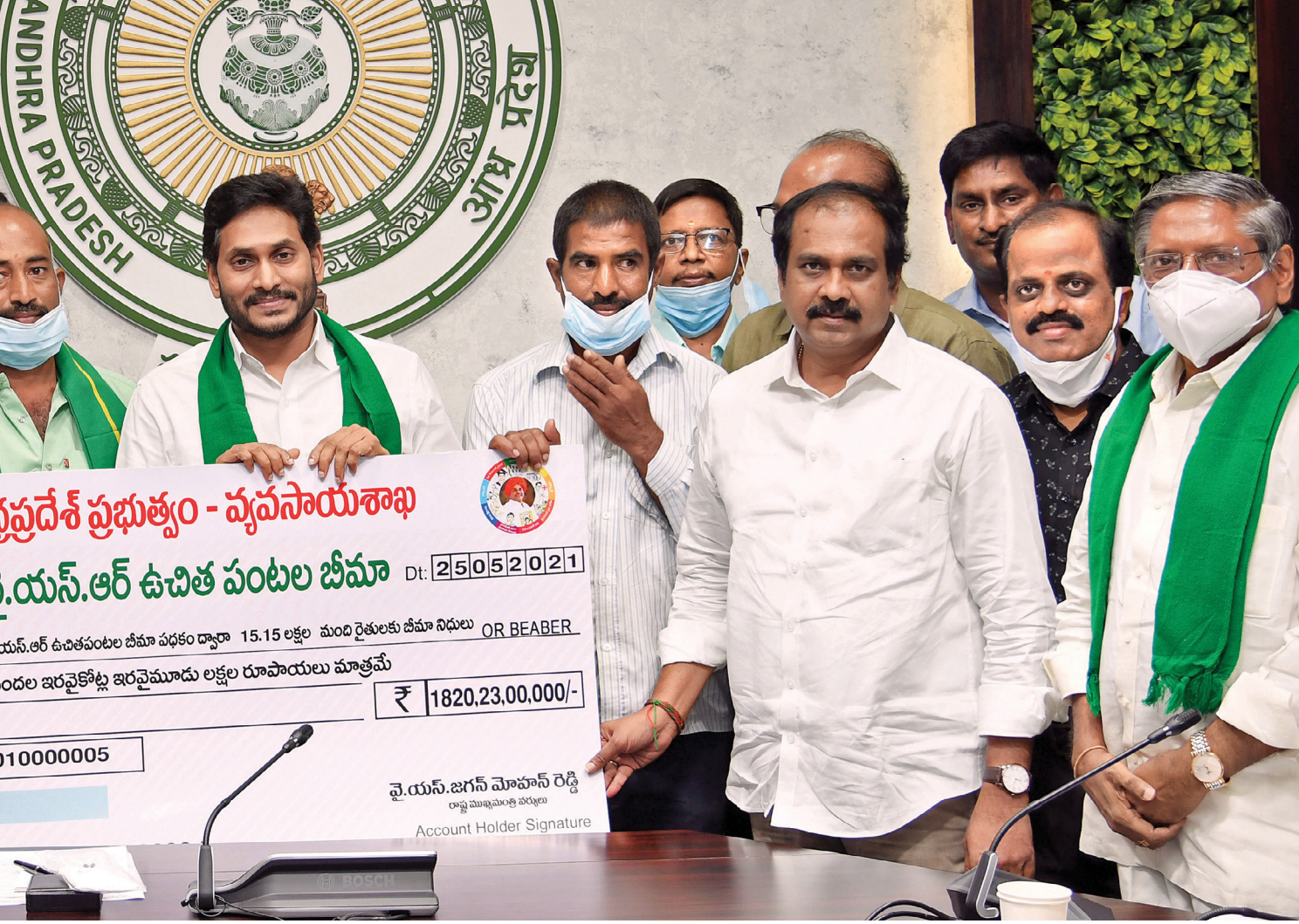


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THE WELFARE BONANZA IS IN KEEPING WITH THE SATURATION CONCEPT ENVISAGED BY YSR TO COVER ALL DISADVANTAGED FAMILIES WITH ONE SCHEME OR ANOTHER. THE COST IS HUGE BUT IT HASN'T DETERRED JAGAN

minister Y.S. Rajasekhara Reddy (popularly known as YSR) and himself. Implementing the welfare bonanza is in keeping with the saturation coverage first envisaged by YSR to shower all disadvantaged families with one scheme or another. The cost is humongous, but it has not deterred Jagan.

"Our chief minister is clear that implementing welfare measures and investing in human capital will be priority, whatever the cost. We'll develop infrastructure aggressively in the next term," says finance minister B. Rajendranath Reddy. "We lost five years after the state reorganisation (in 2014). Naidu did not plan quick decentralised development and left the state nearly bankrupt."

₹33,140.6 CRORE
The revenue deficit in the first half of FY22, an unprecedented increase of 662.8 per cent; fiscal deficit was up by 107.8 per cent

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YSRC'S BINGE OF WELFARE MEASURES MAY BE A vote-grabber but it has also left the state with a severe cash crunch. Raising revenues internally as well as attracting investments are proving to be a daunting task. A desperate Jagan has been asking the Centre and contiguous states to clear all pending payments. Rajendranath says this includes Rs 6,300 crore in electricity arrears, revenue deficit grants, the cost of the multi-purpose Polavaram project, rational allocation of rice for the PDS by the Centre, the arrears due from Tamil Nadu for the Telugu Ganga project, defreezing of fixed deposit accounts and division of assets with Telangana, and arrears from Telangana after the state reorganisation. Meanwhile, the state has availed a Rs 25,000 crore loan through the Andhra Pradesh State Development Corporation (APSDC). The TDP has questioned the constitutional validity of the APSDC and the manner in which it has sought to mobilise funds to implement various schemes.

The state is tapping every resource to meet even routine expenses. Such is the distress that on November 9, the state took another Rs 1,000 crore loan from the Reserve Bank of India by availing security